

BOARD OF CBA

MINUTES

(27.12.2016)

Refinancing Rate of December 27, 2016

The CBA Board Meeting of December 27, 2016 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vaghtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Arkadi Khachatryan.

The Board meeting opened with presentation of Situation Report as of December 27, 2016. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

The CBA Board noted that the inflation rate in November 2016 was very close to the CBA's forecasts – 1.0% of inflation for the month against 0.6% recorded in the same month of the previous year. The 12-month deflation rate eased further, reaching 0.6%. The CBA estimates that December inflation will be 0.6-0.8 pp lower from the forecast, mainly due to price change in food products, particularly fruits and vegetables. The aforementioned estimates as well as the decrease in electricity prices effective from February 2017 (contribution to inflation: -0.2-0.3 pp) add to the risks to fulfilling the inflation target in the medium term.

The external sector indicators have been rather close to the forecasts. The only deviation was with regard to copper prices, driven by expectations for promises for new investments to be made under the US President-elect's program on the one hand and a great demand claimed by China on the other. It was also stated that the prices in some food product markets tended to recover, which is reflected in the behavior of the food price index published by the Food and Agriculture Organization (FAO). Thus, in

November 2016, relative to the same reference period last year, there has been a 10.4% increase of the index. An exception was wheat, the international price of which is still declining (4.4% in the fourth quarter and 24.5% y/y) mostly thanks to more supply as a result of abundant harvest. The CBA Board noted that the US Federal Reserve Bank raised the policy rate at the end of the year and that the Fed announced about rapider tightening of the monetary policy in 2017, which might lead to capital flows from developing countries to the USA and additional inflationary risks in developing countries.

The CBA Board admitted that economic growth in January-September 2016 has been 1.1 pp lower compared to the November estimate of the CBA. The deviation resulted from a decline agriculture and construction and more-than-expected cuts in indirect taxes. The estimates and forecasts of economic growth therefore were revised downward, so economic growth in January-December 2016 is forecast in the range of 0.8-1.2% compared with the previous forecast of 1.2-1.7%.

The January-December results allowed summing up that aggregate demand will further be rebounding gradually in general. In spite of prediction that private investment would decline deeper in the current period, compared to the estimate made in November, the growth rate in private consumption did not reduce in the same period of time and is estimated at 0.8%.

The CBA Board also referred to the developments in the financial market. It admitted that recently the interbank rates had been lower from the policy rate of the CBA owing to a reduced reserve requirement ratio and raised threshold for minimum bank capital requirement. Concerted action by the CBA and the Government of Armenia has gradually eliminated the aforementioned difference by the end of the year, and the interbank rates have now approached the policy rate. The CBA Board considered it necessary to continue a policy to neutralize the difference between its policy rate and the interbank rates.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the CBA Board began discussing the monetary policy directions and interest rate decision-making. The discussion involved two possible scenarios for interest rate change – to reduce it by 0.25 percentage point and to keep it unchanged. The Board decided on the first version, maintaining the point for continued decline in inflation expectations and materialization of some deflationary risks. On the other hand, however, the Board noted that the CBA policy rate was quite close to the country's risk-premium level, which is in fact considered to be the lower bound for the interest rate for developing countries.

The CBA Board approved the decision on interest rates of monetary instruments of the CBA and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA
BOARD RESOLUTION

Interest rates of operations by the CBA in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Central Bank of the Republic of Armenia **enacts:**

1. Set the refinancing rate of the CBA at 6.25%.
2. To the Financial Department of the CBA to carry out operations in the financial market of the Republic of Armenia by the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the CBA to be 7.75%.
 - 2.2 Deposit facility rate offered by the CBA to be 4.75%.
3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,
Chairman of the CBA

Press Release

27.12.2016

At the December 27, 2016 meeting, the Board of the CBA decided to reduce the Refinancing Rate by 0.25 pp, setting it at 6.25%.

Inflation in November was 1.0% compared with 0.6% of inflation in the same month of the previous year, and the 12-month deflation rate continued reducing to 0.6%. According to the CBA estimates, the deflationary environment will persist in the forthcoming months.

A slow pace of global economic growth persisted while some inflationary patterns were observable in international commodity markets. The CBA Board estimates that

significant inflationary effects from the external sector are not yet likely in the upcoming months. However, there are some inflationary risks related to the raising of the policy rate by the US Federal Reserve and how it would affect the developing countries.

The CBA Board notes that economic activity continues to slow down mainly due to supply factors, such as more-than-expected decline in the agricultural sector. On the other hand, the domestic demand has been rebounding largely thanks to the expansionary monetary and fiscal policies implemented in 2015-2016. Yet, some deflationary risks outlined in the fourth quarter's monetary policy program, including a decline in inflation expectations and anticipated reduction in electricity tariff in February, are materializing. This makes persistence of inflation within the lower bound of the confidence band most likely for 2017. In this case, the CBA Board considers it reasonable to loosen monetary conditions for another time.

The CBA Board believes that implemented monetary policy has triggered sufficient incentives to overcome the deflationary environment in 2017 and fulfil the inflation target in the forecast horizon.

The CBA Board also estimates that interest rates have reduced substantially while conventional monetary policy capabilities are now limited. Yet, the CBA remains committed to its primary goal of ensuring price stability and, if necessary, it will react accordingly by using its toolkit to fulfil the inflation target in the medium term.

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Press Service of the CBA